■ PROHIBITED

Social Credit Scoring System

Article 5(1)(c) — Prohibited AI Practice

Description

A government or private entity deploys an AI system that continuously evaluates citizens' behaviour across social, financial, and online activities, assigning each person a dynamic 'trustworthiness score'. This score then determines access to public services, travel permits, loans, housing, and employment opportunities.

Why It May Violate the EU AI Act

- Constitutes social scoring by a public authority based on behaviour in unrelated contexts.
- Leads to detrimental or unfavourable treatment that is disproportionate or unjustified.
- Explicitly named as a prohibited practice under Article 5(1)(c) of the EU AI Act.
- Infringes on human dignity and fundamental rights protected under the EU Charter.

Real-World Context

China's Social Credit System is the most prominent example. Similar 'reputation score' systems in corporate HR analytics or insurance underwriting may also fall under this prohibition if they aggregate multi-domain behavioural data to gate access to essential services.